

Cash Flow

Following the Money, Not Just the Profit — Lesson Explainer

The Concept

The cash flow statement shows real money moving in and out, split into three sections: operating (core business), investing (long-term assets), and financing (lenders and shareholders).

Free cash flow (FCF) = operating cash flow minus capital expenditures - what's actually left to pay dividends, buy back stock, or pay down debt. Compare net income to operating cash flow: a persistent gap often means profit is being recognized before cash is collected.

The Three Sections of a Cash Flow Statement

Operating +\$68M Cash from the core business - compare against net income.	Investing -\$25M Spent on equipment/property - negative usually means reinvesting.	Financing -\$15M Paid to lenders/shareholders - debt repayment, dividends, buybacks.
--	--	--

FCF here: \$68M operating cash flow minus \$22M of capex = \$46M free cash flow - real money generated after keeping physical assets maintained.

Illustrative Example: When Profit and Cash Diverge

Line Item	Year 1	Year 2
Net Income (from income statement)	\$40.0M	\$52.0M
+ Depreciation & Amortization	\$12.0M	\$13.0M
- Increase in Receivables	\$4.0M	\$38.0M
- Increase in Inventory	\$3.0M	\$5.0M
Operating Cash Flow	\$45.0M	\$22.0M

Year 2 net income grew 30%, but operating cash flow fell - receivables jumped from \$4.0M to \$38.0M. The company booked more sales but collected proportionally less cash.

5 Things to Know About Cash Flow

1. Free cash flow is often more trustworthy than net income - harder to manipulate.
2. Operating cash flow persistently below net income is a warning sign.
3. Negative investing cash flow is usually healthy - it means investing in growth.
4. Negative financing cash flow can be a good sign - paying down debt or returning cash.
5. FCF funds everything discretionary - dividends, buybacks, and debt paydown.

4 Things to Check When Reading a Cash Flow Statement

- Compare net income to operating cash flow - a widening gap is worth digging into.
- Read investing activities in context - maintenance capex vs growth/acquisitions.
- Check what financing activities fund - debt paydown funded by real FCF is healthier.
- Track FCF trend over several years, not just one.

Worth knowing:

cash flow completes the picture started by the income statement and balance sheet. A company can report solid profit and a clean balance sheet while cash flow quietly tells a different story.

Quiz — Answer the questions, then check the key on the next page

1. What is free cash flow?

- A. Total revenue for the year
- B. Net income minus taxes
- C. Operating cash flow minus capital expenditures
- D. The cash a company has in the bank right now

2. What does it usually mean when operating cash flow falls well below net income?

- A. The company is definitely committing fraud
- B. It's always a sign the stock will rise
- C. Nothing - it happens completely at random
- D. Rising receivables/inventory may be quietly tying up cash

3. Why is negative investing cash flow usually not alarming?

- A. It always means the company is going bankrupt
- B. It typically means the company is spending on its own growth
- C. Investing cash flow is never negative in practice
- D. It means the company has stopped operating

4. Why can negative financing cash flow be a good sign?

- A. It can reflect paying down debt or returning cash via dividends/buybacks
- B. Negative numbers are always bad in every context
- C. It means the company borrowed a lot of new debt
- D. Financing cash flow is unrelated to debt or dividends

5. Why did operating cash flow fall in Year 2 despite net income growing 30%?

- A. Because revenue fell that year
- B. Because depreciation went to zero
- C. Because receivables jumped sharply, tying up uncollected cash
- D. Because the company paid off all its debt

Answer Key

1. What is free cash flow?

Correct answer: C. Operating cash flow minus capital expenditures

Free cash flow is real money left over after maintaining/growing the business's physical assets.

2. What does it usually mean when operating cash flow falls well below net income?

Correct answer: D. Rising receivables/inventory may be quietly tying up cash

A persistent, widening gap often means profit is being recognized before cash is collected.

3. Why is negative investing cash flow usually not alarming?

Correct answer: B. It typically means the company is spending on its own growth

Negative investing activities usually reflect reinvestment in physical assets - normal and healthy.

4. Why can negative financing cash flow be a good sign?

Correct answer: A. It can reflect paying down debt or returning cash via dividends/buybacks

Financing cash flow going negative often means paying down debt or returning cash to shareholders.

5. Why did operating cash flow fall in Year 2 despite net income growing 30%?

Correct answer: C. Because receivables jumped sharply, tying up uncollected cash

Receivables jumped from \$4.0M to \$38.0M - more sales booked but proportionally less cash collected.